Introduction to Business MGT211

Short Notes By VU Nexus

Theme 6:

Marketing Principles and Strategies

Introduction to Marketing Concepts

Marketing is a **customer-centric approach** where businesses **identify, understand, and fulfill customer needs** better than competitors.
Unlike the **selling concept** (focused on pushing products), the **marketing concept** creates **value** through **customer orientation**, **integration across departments**, and **long-term profitability** through **customer satisfaction**.

The **societal marketing concept** adds **social responsibility**, focusing on **societal well-being** — e.g., **eco-friendly packaging** or **fair-trade practices**.
Example: A café using **organic ingredients** and **reducing plastic waste** aligns **profit with environmental care**.

The Marketing Mix: From 4Ps to 7Ps

The **Marketing Mix** helps businesses deliver the **right product**, at the **right price**, in the **right place**, with the **right promotion**.

4Ps:

- **Product:** Tangible or intangible offering (e.g., smartphone's design & warranty).
- **Price:** Strategy like **premium pricing (Apple)** or **penetration pricing (new brands)**.
- **Place: Distribution channels** — direct (e-commerce) or indirect (retailers).
- **Promotion: Advertising**, **sales promotions**, **social media marketing**.

For **services**, 4Ps expand to **7Ps**:

- **People:** Service staff interactions.
- **Process:** Service delivery speed & quality.

- **Physical Evidence:** Tangible cues (e.g., store ambiance, cleanliness).
  Example: A **dahi bhalla vendor** uses good **location**, **hygiene**, and **fast service** to attract customers.

Understanding Buyer Behavior

Buyer behavior studies **how and why customers make purchase decisions**, influenced by:

- **Psychological factors:** Needs (Maslow), perceptions.
- **Social factors:** Family, peers, culture.
- **Situational factors:** Time, discounts, urgency.

Buyer Decision Process:

1. **Problem Recognition** – Need arises ("I need a new laptop").
2. **Information Search** – Checking reviews or asking friends.
3. **Evaluation** – Comparing alternatives (MacBook vs Dell).
4. **Purchase Decision** – Selecting based on price/features.
5. **Post-Purchase Behavior** – Satisfaction → loyalty or returns.

Marketers use these insights for **targeted ads** (e.g., student discounts) and **customer follow-up** (emails, offers).

Market Segmentation, Targeting & Positioning (STP Model)

- **Segmentation:** Dividing the market into subgroups (e.g., **age, income, lifestyle**).
  Example: **Fitness app** — athletes (high intensity) vs seniors (low impact).
- **Targeting:** Selecting which segment to serve.
  - **Undifferentiated:** One product for all (e.g., salt).
  - **Differentiated:** Multiple products for segments (e.g., Nike shoes).
  - **Niche:** Focus on one small group (e.g., luxury watches).
- **Positioning:** Creating a **distinct brand image**.
  Example: **Tesla = innovation**, **Volvo = safety**.

Product Development & Product Life Cycle

A **Product** satisfies customer needs through:

- **Core Benefit** – Main need (communication via smartphones).
- **Actual Product** – Design, features (e.g., iPhone camera).
- **Augmented Product** – Add-ons (e.g., AppleCare).

Product Life Cycle (PLC):

1. **Introduction:** Heavy promotion (free trials).
2. **Growth:** Increasing sales.
3. **Maturity:** Diversify products (e.g., Coca-Cola Zero).
4. **Decline:** Drop or modify product.

New Product Development (NPD): Idea → Screening → Testing → Launch.
Failures often occur due to **poor market research** (e.g., Google Glass).

Pricing Strategies

Price = amount paid by customers. It affects **demand, profit, and brand image**.

Pricing Methods:

1. **Cost-Based Pricing:** Cost + markup (ignores competition).
2. **Value-Based Pricing:** Based on **customer's perceived value**.
3. **Competition-Based Pricing:** Set by **market rates** (FMCGs).

Key Pricing Strategies:

- **Psychological Pricing:** Rs. 99 instead of Rs. 100.
- **Penetration Pricing:** Low price to gain market share.
- **Price Skimming:** High launch price → reduce later (tech products).
- **Bundle Pricing:** Combine items at discount.
- **Promotional Pricing:** Temporary discounts.
- **Dynamic Pricing:** Real-time changes (airlines, hotels).

Future Pricing Trends:

- **AI-Powered Dynamic Pricing** (Amazon).

- **Subscription Models** (Netflix, Adobe).
- **Personalized Pricing** (based on shopping history).
- **Value-Driven Pricing** (eco-friendly brands).
- **Decoy Pricing:** Mid-option to make premium look better.
- **Freemium to Premium:** Free basic, paid advanced (Spotify, Canva).
- **Crypto Pricing:** Bitcoin/crypto payments.

Importance of Pricing:

- **Low price = affordability** (Redmi).
- **High price = prestige** (Apple, Rolex).
- **Consistent pricing = trust & loyalty.**

Pricing supports **revenue**, **market share**, **loyalty**, and **competitive edge**.

Distribution & Promotion Strategies

Place (Distribution):

- **Direct:** E-commerce (Amazon).
- **Indirect:** Wholesalers → retailers (Unilever).

Promotion Mix:

- **Advertising (TV, social media)**
- **Sales promotions (discounts)**
- **Public relations & influencer marketing (TikTok, Instagram)**
- **AI-driven personalization** (targeted ads).

Digital Age Marketing Trends

1. **Social Commerce:** Buying directly via Instagram, Reels, Live streams.
2. **AI & AR:** Chatbots, virtual try-ons.
3. **Sustainability:** Eco-friendly & carbon-neutral brands.
4. **Buy Now, Pay Later (BNPL):** Flexible payments (Klarna, Afterpay).

Conclusion / Key Takeaways

- **Customer-centricity** drives **loyalty and profit**.
- **STP Model** ensures **efficient targeting** and positioning.
- **4Ps → 7Ps** help in both **products and services**.
- **Digital tools (AI, AR, social commerce)** transform marketing.
- **Ethical & sustainable practices** are new competitive strengths.
- **Pricing and promotion strategies** shape **brand image & customer trust**.

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